had elevated him from virtual oblivion into the mainstream of the Tatas, supporting him at every turn.

Ratan says that the Mistry he knew before the latter took over as chairman, Tata Sons, was different from what he became later. He admits that he had misjudged Mistry's approach to business issues as manifestations of entrepreneurial skills and outstanding leadership.

A month before Mistry was replaced, *The Economist* commented that compared to most Western CEOs who are 'quarterly-results-obsessed', Mistry as the head of Tata Sons, an unlisted company, was in an enviable position. He could have focused on the long term rather than being constrained by the need to show short-term results, as Tata Trusts 'think in terms of decades, not years'. Yet, even under these 'favourable circumstances, Mr Mistry's peers might well look at the uninspiring financial performance of much of his group since he took over in December 2012 and conclude they could do better'.

Mistry also constrained himself by looking backwards and comparing the achievements of the Tata companies against their own previous performance. He then took decisions on selling or retaining them on such assessments. Such fettering comparisons were rooted in a misunderstanding of the cyclic performance of certain industries.

In important sectors, it is imperative to assess performance in comparison with peers in a particular year and not their past performance. If such an approach is not adopted, it might lead to the sale of precious assets that would recover to yield high returns once the downturn period passes. This is especially true of industries such as steel, automobiles and housing.

Failure to recognize this economic reality resulted, for instance, in the rather hasty decision to sell off the Tata Steel business in the UK. This led to adverse reports in the press and spawned insecurity among the workers. It was also opined that the decision hurt the group's image as an 'ethical employer'. A business journal commented that the decision might not have gone down well with Tata Trusts and Ratan himself. *Fortune* magazine said: 'Inside Tata, a company that promotes its roots in the heritage and social values of the Parsi community', some executives 'questioned Mistry's efforts to cut back or sell underperforming assets'.

'The crux of the Tata world view,' says Morgen Witzel, the UK-based author of a book on the Tata enterprise, 'is [that] shareholder value should not be an end in itself … Companies are not machines for making money.